

GLOBAL
EDITION



Marketing Research

An Applied Orientation

SEVENTH EDITION

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Chapter 2:

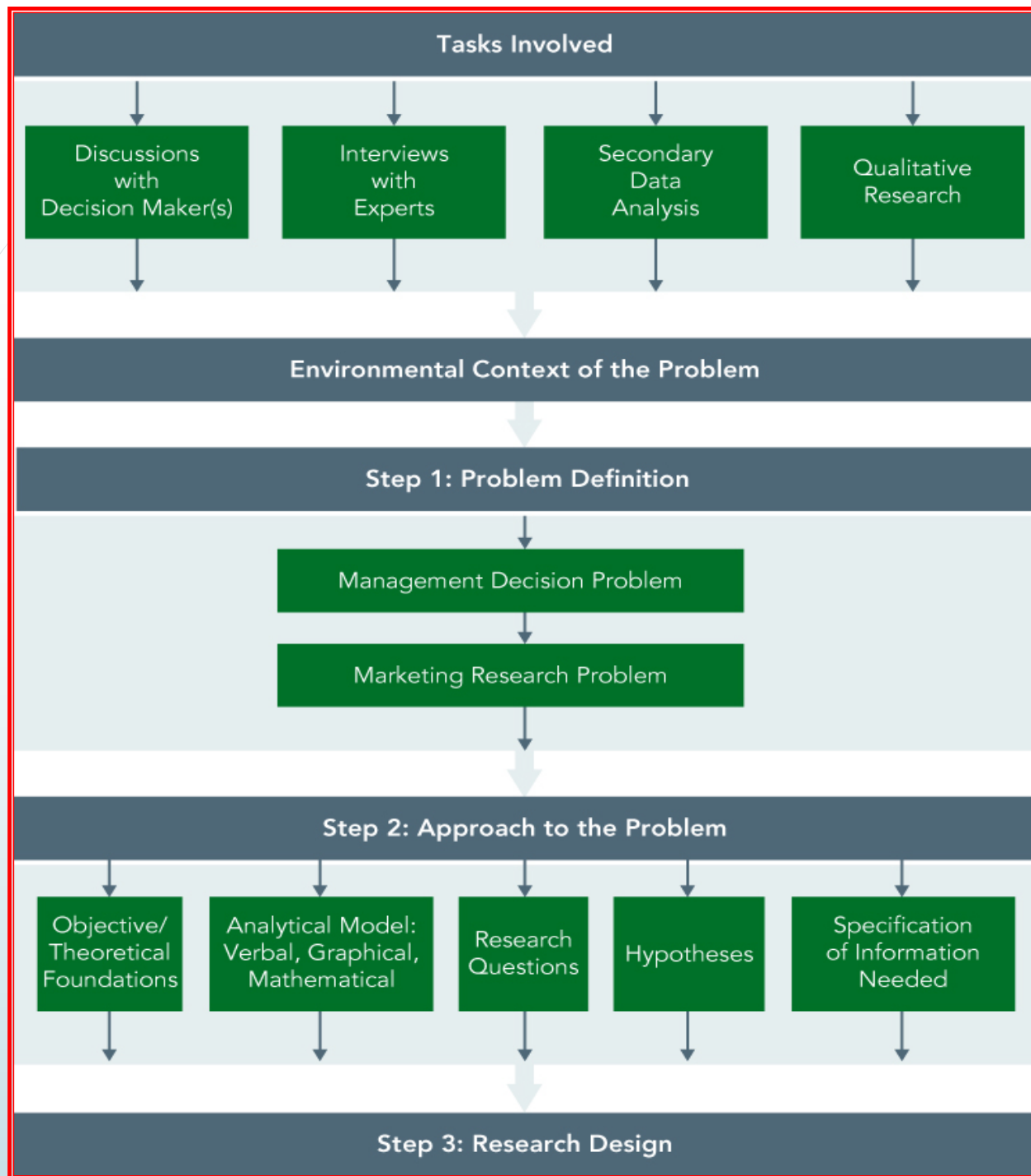
2.1 Defining Marketing Research Problem

Importance of Defining Problem

- Defining the problem is the most important step, because only when a problem has been identified clearly and accurately, can a research project be conducted properly.
- **Problem Definition:** A broad statement of the general marketing research problem and identification of its specific components.
- All the effort, time, and money spent from this point on will be wasted if the problem is misunderstood.

Inadequate problem definition is a leading cause of failure of marketing research projects.

Process of Defining Problem and Developing Approach



Tasks Involved in Problem Definition

1. **Discussions with Decision Makers**
2. **Interviews with Industry Experts**
3. **Secondary Data Analysis**
4. **Qualitative Research**

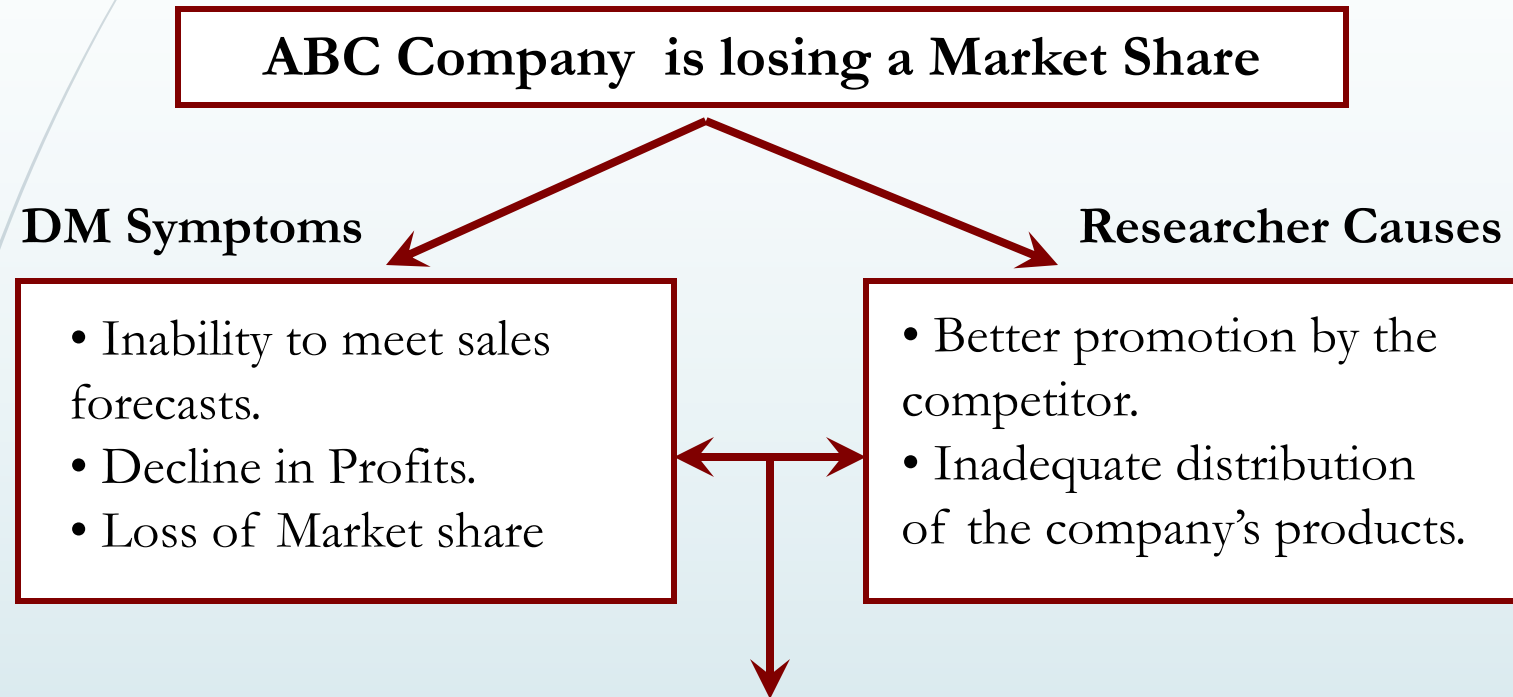
Tasks Involved in Problem Definition

1. Discussions with the Decision Maker

- Research provides information relevant to management decisions, but it can not provide solutions, as they require managerial judgment.
- However, researchers need to understand the nature of what managers face “The Management Problem”, and what they want to learn from the research.
- To identify “The Management Problem”, researcher must interact with DM, who usually has a vague idea of what the problem is.
- Several complications exist: Access to DM, company protocols, etc.
- Despite all these problems, researcher should interact directly with key DMs.
- Upon reaching the DM, researcher should do **“Problem Audit”**, which involves comprehensive discussions with the DM to examine the nature and origin of the problem.

Tasks Involved in Problem Definition

1. Discussions with the Decision Maker, Cont.



**Communication, Cooperation, Confidence,
Continuity, Creativity**

Tasks Involved in Problem Definition

2. Interviews with Industry Experts

- Interviews with persons knowledgeable about the firm and the industry (both inside and outside the firm) may help formulate the Marketing Research Problem.
- Expert information should be obtained by unstructured interviews (Pre-prepared Agenda only) to allow greater flexibility in capturing insights.
- Unfortunately, 2 potential difficulties may exist when seeking advice from experts:
 - Some individuals claim to be knowledgeable, while they do not really possess expertise.
 - It may be difficult to obtain help from experts outside the client organization.

Tasks Involved in Problem Definition

3. Secondary Data Collection and Interpretation

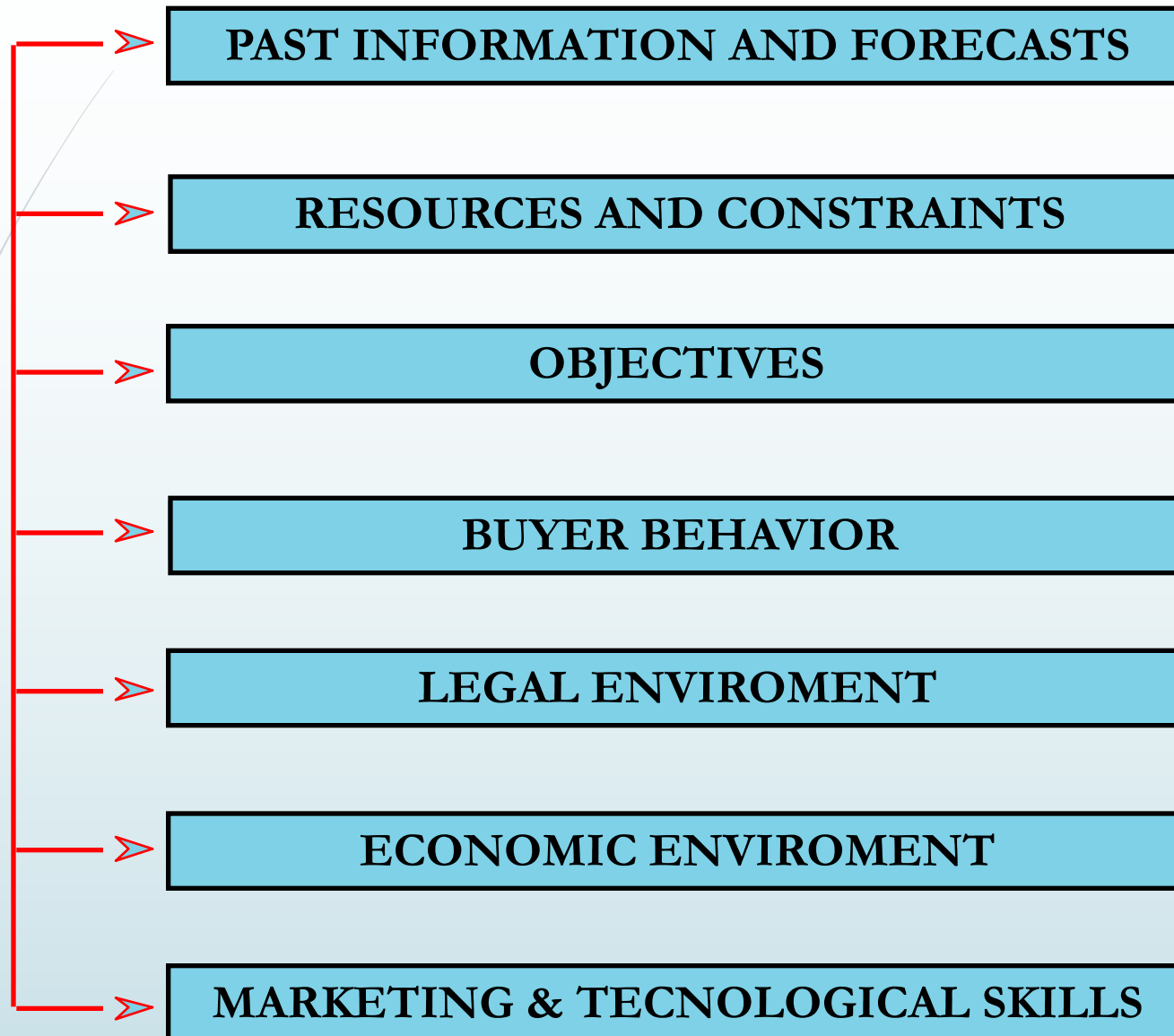
- Secondary data are collected for some purpose other than the problem in hand. Primary data, on the other hand, are collected and produced for the specific purpose of addressing the current research problem.
- Secondary data include information made available via: government sources, commercial firms (e.g. syndicated data) and computerized databases.
- Secondary data are an economical and quick source of background information.
- Analysis of the secondary data available is an essential step in the problem definition process.
- Primary data should not be collected until the available secondary data have been fully analyzed.

Tasks Involved in Problem Definition

4. Qualitative Research

- The purpose of qualitative research is to get a feel for the situation rather than a conclusive result.
- Such research can and should play a useful role in helping the researcher to understand the problem more clearly.
- Techniques such as focus group interviews, and in-depth interviews are often used to find the opinion of the consumers.
- This helps the researcher in refining the problem and guiding the research in the right direction.

Factors to be Considered in the Environmental Context of the Problem



Management Decision Problem Vs.

Marketing Research Problem

Management Decision Problem	Marketing Research Problem
Asks what the decision maker needs to do	Asks what information is needed and how it should be obtained
Action oriented	Information oriented
Focuses on symptoms	Focuses on the underlying causes

Examples of MDP & MRP

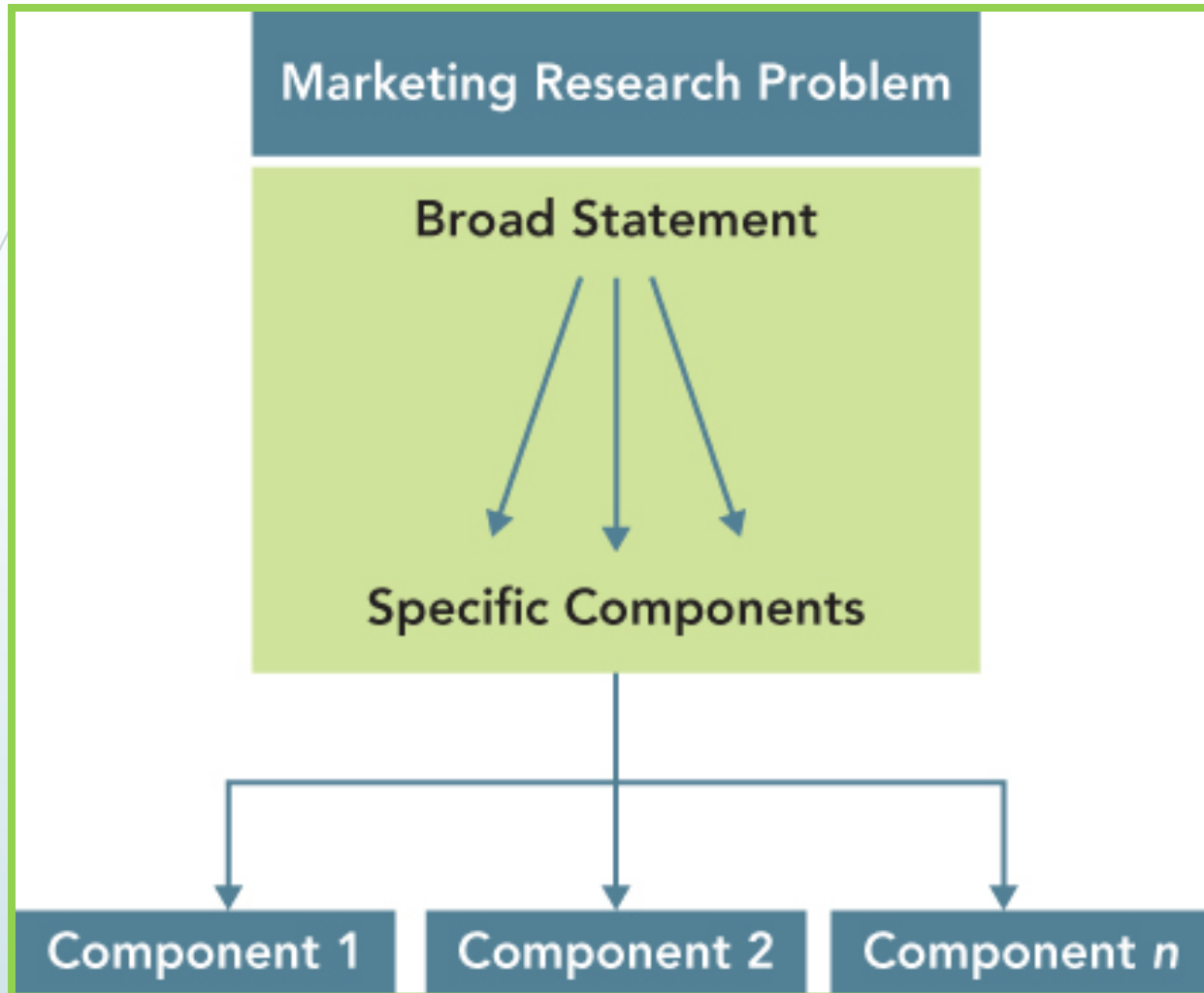
MDP

- Should a new product be introduced?
- Should the price of the product be increased?
- Would it be profitable to enter the Chinese Market?

MRP

- To determine consumer preferences and purchase intentions for the proposed new product.
- To determine the price elasticity of demand, and the impact on sales/profits of different price scenarios.

MRP: Broad Vs Specific Components



Simulation Exercise 2

You are the Head of the Marketing Research Department in the Rotana Hotel Group, and you are currently investigating the MDP that is related to low occupancy rate of the hotel rooms (across all Rotana hotels in the GCC) even in high seasons.

You will be sitting in the 1st Brain Storming meeting with the Marketing Manager and the GM. Define the possible MRP routes for the above-mentioned MDP?